

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MARIE CAREW D/B/A/ HOLIDAY SHIPPING, *Complainant*

v.

MAERSK LINE A/S & JOHN DOES, *Respondents*.

DOCKET NO. 20-17

Served: November 2, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION¹

I. INTRODUCTION

A. Procedural History and Summary of Decision

On October 21, 2020, Complainant Marie Carew d/b/a Holiday Shipping (“Holiday”) filed a complaint against Respondent Maersk Line A/S (“Maersk”) and John Does alleging violations of section 41102(c) of the Shipping Act and Commission Rule 545.4(d) for four containers shipped to Nigeria. Maersk moved for a judgement on the pleadings, which was denied. On April 28, 2021, Maersk filed its answer to the complaint which denied the allegations, raised affirmative defenses, and asserted a counter claim that Holiday obtained transportation at less than applicable rates in violation of section 41102(a) of the Shipping Act.

On August 23, 2021, Holiday filed its proposed findings of facts with exhibits. On September 13, 2021, Maersk filed its brief with appendix. On September 29, 2021, Holiday filed its reply brief with response to Maersk’s proposed findings of fact and appendix.

The parties agree that the four containers are currently in Nigeria in the custody of the Nigeria Ports Authority (“NPA”) but disagree as to the reason they are being held. RX 5 at 32. An order required the parties to submit affidavits about the status of the containers, stating: “It appears that the parties have received conflicting information from their contacts in Nigeria regarding the process for obtaining shipments to Nigeria. . . . Clearing any misunderstanding as to what is required to release the shipments in question may help the parties resolve their dispute.” Order on Complainant’s Request for Discovery at 3.

Initially, Holiday alleged that this proceeding was about demurrage and detention fees, which were the subject of a related case in federal court. Complaint at 2-4. However, Maersk waived all detention and demurrage charges. RX 5 at 34. Holiday then asserted that Maersk had refused to release paperwork required for the consignees to retrieve their cargo, asserting first

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

that a debit note was required, then that delivery orders were needed, and finally that the original bills of lading were required. Joint Status Report (“JSR”) at 2 (March 3, 2021); Letter Motion at 1 (June 3, 2021); Brief at 2. Holiday’s shifting theories of why the containers continue to be held undermines Holiday’s argument that Maersk is responsible. Moreover, although filing the complaint against Maersk and John Does, Holiday has not identified any John Does who may be responsible, instead, focusing only on Maersk. In its counter claim, Maersk points to Holiday’s description of itself as a freight forwarder to argue that it misrepresented itself to be an NVOCC to access lower rates in the parties’ service contract.

As discussed more fully below, Holiday has failed to establish that Maersk violated the Shipping Act. In addition, Maersk has failed to establish that Holiday violated the Shipping Act.

B. Arguments of the Parties

Holiday asserts that Maersk refuses to release the bills of lading for these four containers; that the containers cannot be procured because Maersk refuses to release the bills of lading; and that the shippers have suffered significant losses. Brief at 2. Holiday requests a hearing to determine the remaining merits of the parties’ claims and defenses. Brief at 2.

Maersk argues that delivery was accomplished upon discharge to the NPA facility, original copies of the non-negotiable bills of lading were not needed, the bills of lading were properly issued to Holiday, and the containers are being held pursuant to a Nigerian customs hold so that the claimed acts or omissions are not occurring on a normal, customary, and continuous basis, the practice was not unreasonable, and the practice was not the proximate cause of the claimed loss. Opposition at 9-16. Maersk further asserts that Maersk’s counter claim against Holiday should be granted either on default or on the merits. Opposition at 17-20.

In its reply, Holiday asserts that Maersk issued non-negotiable bills of lading, designating Holiday as the shipper, and that Holiday does not need to issue an in-house bill of lading. Reply at 3. Holiday asserts that even if it issued an in-house bill of lading, such a bill of lading would be ineffective when Maersk refused, as in the herein case, to release its bill of lading to Holiday. Reply at 3. In addition, Holiday asserts that an NVOCC does not operate vessels that transport cargo and is a shipper in its relationship with an ocean common carrier and that Maersk designated Holiday as the shipper on its bills of lading. Reply at 3.

C. Evidence

Under the Administrative Procedure Act, an administrative law judge may not issue an order “except on consideration of the whole record or those parts thereof cited by a party and supported by and in accordance with the reliable, probative, and substantial evidence.” 5 U.S.C. § 556(d); *see also Steadman v. SEC*, 450 U.S. 91, 102 (1981). This initial decision is based on the pleadings, exhibits, briefs, proposed findings of fact and conclusions of law, and replies thereto filed by the parties.

This initial decision addresses only material issues of fact and law. Proposed findings of fact not included in this decision were rejected, either because they were not supported by the evidence or because they were not dispositive or material to the determination of the allegations in the complaint or the defenses thereto. Administrative adjudicators are “not required to make

subordinate findings on every collateral contention advanced, but only upon those issues of fact, law, or discretion which are ‘material.’” *Minneapolis & St. Louis R.R. Co. v. United States*, 361 U.S. 173, 193-94 (1959). To the extent individual findings of fact may be deemed conclusions of law, they shall also be considered conclusions of law. Similarly, to the extent individual conclusions of law may be deemed findings of fact, they shall also be considered findings of fact.

Specific findings of fact are in section two, prior to the analysis and conclusions of law in part three, and the order in part four.

II. FINDINGS OF FACT

1. Marie Carew is a natural person who operates a limited liability company under the trade name of Holiday Shipping based in Georgia. Complaint at 1; RX 2 at 9-10.
2. Marie Carew, operating as Holiday Shipping, is licensed by the FMC as a non-vessel-operating common carrier. RX 15.
3. Neither Marie Carew nor Holiday Shipping are licensed as freight forwarders by the FMC. RX 16.
4. Holiday would initiate direct contact with shippers seeking to ship container goods to different parts of the world; arrange transportation services with a common carrier; and collect freight monies from shippers to pay common carriers. RX 2 at 10.
5. Maersk is an ocean common carrier. Answer at 8-9.
6. Holiday, as Shipper, and Maersk, as Carrier, entered into Service Contract number 4227744. RX 2 at 9-10; RX 13 at 2.
7. Holiday and Maersk entered into an agreement, as a result of which Maersk issued four port-to-port non-negotiable sea way bills numbered 965477262, 965544009, 965751148, and 965885829 for the ocean carriage of containers numbered SUDU6808042, MSKU8180603, MSKU8445214, and MRKU6064475. RX 14.
8. The four bills of lading list Holiday Shipping as the shipper and state “freight prepaid.” RX 14.
9. For three containers, per diem charges were incurred because adequate documents of title to allow the export were not received from the shipper, so the container needed to be rolled to the next available vessel after proper paperwork was received. RX 5 at 33-34.
10. The fourth container, MSKU6064475, did not incur and was not invoiced for any demurrage, detention, or per diem charges. RX 5 at 34.
11. Maersk withdrew any and all claims for detention and demurrage with regard to these four shipments. RX 5 at 34.

12. The parties agree that the four containers are currently in Nigeria in the custody of the NPA but disagree as to the reason they are being held. RX 5 at 32.
13. Between October 24, 2018, and November 25, 2018, the four containers were all discharged at the Tin Can Island Container Terminal, which is regulated by the NPA. RX 5 at 34-35.
14. “Many of Holiday Shipping’s customers reside outside the United States, and obtaining information from these customers is filled with communication and logistical challenges.” Brief, Carew Affidavit at 2.
15. One customer, Joseph Famoye, an auto broker, states that he contacted Holiday to transport various items including three cars to Nigeria and that Ms. Carew advised him that he needed to obtain a 40-foot container. Brief, Famoye Affidavit at 1. After the container shipped, Ms. Carew provided a letter of indemnity which indicated the bill of lading number. *Id.* Mr. Famoye paid to clear the container in Nigeria but has been unable to retrieve it. *Id.* at 2.
16. In a related federal case, Ms. Carew stated that Maersk issued each of the bills of lading after it collected freight charges and that it released the consignments to the consignees, limiting her ability to collect money due from the consignees. RX 2 at 12-14.
17. Maersk’s investigation suggests that the four containers remain under an NPA hold, possibly because duties must be paid. RX 5 at 35; RX 10 at 114-115; RX 13 at 2.
18. The containers have not been released by the NPA despite Complainant’s efforts to obtain them. Brief, Carew Affidavit at 2.
19. The containers’ bill of lading terms and conditions state that “If the Carrier is obligated to discharge the Goods into the hands of any customs, port or other authority, such discharge shall constitute due delivery of the Goods to the Merchant under this bill of lading.” RX 14 at Terms for Carriage, Section 22.3.

III. ANALYSIS AND CONCLUSIONS OF LAW

A. Preliminary Issues

1. Jurisdiction

The Shipping Act provides that a “person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part.” 46 U.S.C. § 41301(a). Pursuant to this provision, the Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-04, 30 S.R.R. 991, 997-99, 2006 FMC LEXIS 19, at *33 (FMC May 10, 2006); *see also Cargo One, Inc. v. Cosco Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 FMC LEXIS 14, at *38-42 (FMC Oct. 31, 2000). Holiday alleges a violation of the Shipping Act within the Commission’s jurisdiction.

2. Burden of Proof

To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence. 5 U.S.C. § 556(d); 46 C.F.R. § 502.155; *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, 2014 FMC LEXIS 35, at *41 (FMC Dec. 17, 2014). Under the preponderance standard, a complainant must show that their allegations are more probable than not. *Crocus Investments, LLC v. Marine Transport Logistics*, Docket No. 15-04, 2021 FMC LEXIS 125, at *4 (FMC Aug. 18, 2021). It is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence alone may even be sufficient; however, such findings may not be drawn from mere speculation. *Waterman Steamship Corp. v. General Foundries Inc.*, Docket No. 93-15, 26 S.R.R. 1173, 1180, 1993 FMC LEXIS 73, at *40 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 FMC LEXIS 19 (FMC June 13, 1994).

B. Relevant Law

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including two types of ocean transportation intermediaries. “The term ‘ocean transportation intermediary’ means an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). “The term ‘ocean freight forwarder’ means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19).

“The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). To be an NVOCC, the entity must meet the Shipping Act’s definition of common carrier.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7).

The statutory definitions are echoed in the Commission’s regulations:

Ocean transportation intermediary means an ocean freight forwarder or a non-vessel-operating common carrier. For the purposes of this part, the term

- (1) *Ocean freight forwarder (OFF)* means a person that – (i) In the United States, dispatches shipments from the United States via a common carrier

and books or otherwise arranges space for those shipments on behalf of shippers; and (ii) Processes the documentation or performs related activities incident to those shipments; and

- (2) *Non-vessel-operating common carrier (NVOCC)* means a common carrier that does not operate the vessels by which the ocean transportation is provided, and is a shipper in its relationship with an ocean common carrier.

46 C.F.R. § 515.2(m).

Common carrier means any person holding itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation that:

- (1) Assumes responsibility for the transportation from the port or point of receipt to the port or point of destination, and
- (2) Utilizes, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country

46 C.F.R. § 515.2(e).

The Commission promulgated regulations providing examples of freight forwarder services.

Freight forwarding services refers to the dispatching of shipments on behalf of others, in order to facilitate shipment by a common carrier, which may include, but are not limited to, the following:

- (1) Ordering cargo to port;
- (2) Preparing and/or processing export documents, including the required ‘electronic export information’;
- (3) Booking, arranging for or confirming cargo space;
- (4) Preparing or processing delivery orders or dock receipts;
- (5) Preparing and/or processing common carrier bills of lading or other shipping documents;
- (6) Preparing or processing consular documents or arranging for their certification;
- (7) Arranging for warehouse storage;
- (8) Arranging for cargo insurance;

- (9) Assisting with clearing shipments in accordance with United States Government export regulations;
- (10) Preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required;
- (11) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments;
- (12) Coordinating the movement of shipments from origin to vessel; and
- (13) Giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch.

46 C.F.R. § 515.2(h).

The Commission promulgated regulations providing examples of NVOCC services.

Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

- (1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;
- (2) Payment of port-to-port or multimodal transportation charges;
- (3) Entering into affreightment agreements with underlying shippers;
- (4) Issuing bills of lading or other shipping documents;
- (5) Assisting with clearing shipments in accordance with U.S. government regulations;
- (6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;
- (7) Paying lawful compensation to ocean freight forwarders;
- (8) Coordinating the movement of shipments between origin or destination and vessel;
- (9) Leasing containers;
- (10) Entering into arrangements with origin or destination agents;

- (11) Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.

46 C.F.R. § 515.2(k).

The complaint alleges that Maersk violated section 41102(c) of the Shipping Act, which states that a "common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

46 U.S.C. § 41102(c).

On September 7, 2018, the Commission issued a notice of proposed rulemaking "to obtain public comments on clarification and guidance regarding the Commission's interpretation of the scope of 46 U.S.C. 41102(c)." Notice of Proposed Rulemaking: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 45367 (Sept. 7, 2018) ("NPRM"). In the notice of proposed rulemaking, the Commission stated *inter alia*:

Specifically, the Commission is considering an interpretive rule consistent with Commission precedent . . . that would restore the scope of § 41102(c) to prohibiting unjust and unreasonable *practices* and *regulations*. These decisions require that a regulated entity engage in a practice or regulation on a *normal*, *customary*, and *continuous* basis and a finding that such practice or regulation is unjust or unreasonable to violate that section of the Shipping Act.

NPRM, 83 Fed. Reg. at 45368 (emphasis in original, internal citations omitted).

On December 17, 2018, the Commission issued a final rule adopting the September 7, 2018, notice of proposed rulemaking without change. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018) ("Final Rule"). Rule 545.4, states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

C. Section 41102(c) Elements

To establish a violation of section 41102(c), a complainant must demonstrate that the respondent is a regulated entity; the claimed acts or omissions occurred on a normal, customary, and continuous basis; the practice or regulation is connected with receiving, handling, storing, or delivering property; the practice or regulation is unjust or unreasonable; and the practice or regulation is the proximate cause of the claimed loss. 46 C.F.R. § 545.4. Each element is discussed below.

1. Regulated Entity

Because section 41102(c) governs the activities of common carriers, marine terminal operators, and ocean transportation intermediaries, to violate it, an entity must be a common carrier, marine terminal operator, or ocean transportation intermediary. The evidence establishes that Maersk is an ocean common carrier and a regulated entity within the meaning of the Shipping Act. Answer at 8-9. Accordingly, Holiday has established this first element.

2. Unjust and Unreasonable

Holiday currently asserts that Maersk failed to release the bills of lading, sea waybill, or telex release for these four shipments. Brief at 2. Maersk contends that delivery was accomplished upon discharge to the NPA facility; original bills of lading were not needed; and Maersk did not act unreasonably. Opposition at 10-14.

Holiday's arguments about what Maersk practices are at issue has continually shifted. Initially, Holiday asserted that Maersk failed to release the containers and charged demurrage and detention fees while the containers were with Customs and Border Patrol, but did not specifically allege a failure to release the bills of lading. Complaint at 2-4. However, in a previous related federal case, Ms. Carew stated that Maersk generally issued bills of lading after it collected freight charges and that it released consignments to the consignees, limiting Holiday's ability to collect money due from the consignees. RX 2 at 12-14. In response to Maersk's motion to dismiss, Holiday asserted that Maersk retained custody of the four containers and refused to release them to the appropriate consignees. Response to Motion to Dismiss at 2. In a joint status report, Holiday next asserted that Maersk "refused to issue a necessary Debit note for the NPA to release the containers to the Consignees." JSR at 2. Then, in a letter motion requesting limited discovery, Holiday asserted that "Complainant has found out that there are differences in business protocols and legal environments between Nigeria and the United States" and that Maersk refuses to issue invoices and release the "delivery order." Letter Motion at 1. Holiday now argues that Maersk refuses to release the bills of lading for the four containers. Brief at 2.

The parties agree that the NPA is holding the containers but disagree as to the reason. Holiday has suggested a variety of theories about why the consignees have been unable to retrieve their cargo. The information that Holiday is receiving regarding why the NPA has not released the containers is inconsistent, second hand, and hearsay. "Many of Holiday Shipping's customers reside outside the United States, and obtaining information from these customers is filled with communication and logistical challenges." Brief, Carew Affidavit at 2. Although

relevant and admissible, this evidence is not persuasive. Holiday appears to have limited knowledge of the import regulations and practices in Nigeria, asserting that “there are differences in business protocols and legal environments between Nigeria and the United States.” RX 6 at 96. Moreover, Holiday’s statements regarding requirements to release shipments in Nigeria are not consistent and it is not clear what Maersk practices, if any, caused the continued detention of the containers.

In contrast, Maersk has consistently reported that the NPA refuses to release the containers, stating:

Your Declarant asked MAERSK’s agent at Lagos to inquire into the status [of] the four containers which are the subject of the complaint. It was then determined that the containers were still at Lagos awaiting pick-up by the consignees. *Id.* I was also advised that the cargos were under a Nigerian Customs hold, but further details were unavailable.

RX 10 at 114-115; *see also* RX 5 at 35, RX 13 at 2. The NPA is not a party to this proceeding and the undersigned has no authority over its determinations.

As the party who initiated the proceeding, Holiday has the burden of proof. The evidence establishes that Maersk released the containers to the NPA and that the NPA continues to hold the containers. Holiday has not established by a preponderance of the evidence that Maersk’s conduct caused the NPA to delay delivery of the containers or to continue to hold the containers. Indeed, it is not entirely clear why the NPA continues to hold the containers, although Maersk’s suggestion that significant fees have accrued is conceivable. If, indeed, the containers are being held by the NPA because fees are owed on them, Holiday has not proven any conduct by Maersk that caused the fees to accrue. Holiday has not established by a preponderance of the evidence that Maersk’s conduct was unjust or unreasonable and has not met this element.

3. Connected with Receiving, Handling, Storing, or Delivering Property

Holiday alleges violations regarding the handling, storing, and delivering of the four containers. Complaint at 1. Specifically, Holiday alleges that the containers have not been delivered. Brief at 1. The evidence shows that the alleged violation involved receiving, handling, storing, or delivering containers. This element is not contested and is established by Holiday.

4. Normal, Customary, and Continuous Basis

Holiday has the burden to establish that the unjust and unreasonable acts in question occurred on a normal, customary, and continuous basis and thus were a regulation or practice by Respondent. Holiday alleges that: “Ordinarily, Respondent issues its bill of lading or the sea waybill or telex release when the consignment leaves the originating port and is en route to the destination port. The Respondent has refused to release the bills of lading, sea waybill, or telex release for any of these consignments.” Brief at 2. Maersk contends that only four containers involving the same shipper are implicated; that the statement of Joseph Famoye is hearsay from someone not named as a consignee; and that the claimed acts or omissions are not occurring on a normal, customary, and continuous basis.

Holiday has not established that Maersk's alleged conduct has occurred on a normal, customary, and continuous basis and is a part of Maersk's normal business practices or business model. To the contrary, the related litigation identified 79 containers shipped by Holiday with Maersk and Holiday does not suggest that these issues occurred with the other containers. *See* Complainant's Response to Maersk's Motion at 1 (Jan. 12, 2021). Rather, Holiday argues that ordinarily, Maersk issues its bill of lading when the consignment leaves the originating port. Brief at 2. For these four containers, Holiday asserts that Maersk treated these four shipments differently from its normal business practices. Accordingly, Holiday has not established this element.

5. Proximate Cause of Loss

Holiday alleges that Maersk refused to release the bills of lading, so that the containers could not be picked up, causing significant loss to the shippers. Brief at 2. Maersk asserts that it was not the proximate cause of the claimed loss. Opposition at 14-16.

The evidence establishes that the containers could not be picked up because they have been detained by the NPA. Holiday has not established that Maersk's action were the proximate cause of the continued detention of the containers and has not established why the containers continue to be held by the NPA. Accordingly, Holiday has not established this element.

6. Conclusion

Holiday has not established by a preponderance of the evidence that Maersk violated section 41102(c) of the Shipping Act and Commission Rule 545.4(d) as alleged, because Holiday has not established that Maersk's conduct was unjust or unreasonable; normal, customary, and continuous; or the proximate cause of loss.

Additional information is not necessary to resolve this claim. Accordingly, Holiday's request for a hearing to determine the remaining merits of the parties' claims and defenses is hereby **DENIED**.

D. Section 41102(a) Counter Claim

Maersk alleges in its counter claim that Holiday violated section 41102(a), formerly section 10(a)(1), of the Shipping Act.

Claimant knowingly and willfully obtained transportation at less than applicable rates by false, unjust, and unfair means including, *inter alia*, fraudulently misrepresenting NVOCC status. By signing the Service Contract as an NVOCC and then acting as an unlicensed ocean freight forwarder in tendering cargo under that contract, Claimant knowingly and willingly failed to pay for the transportation of Claimant's cargoes by false, unjust, and unfair means including, *inter alia*, fraudulent misrepresentation and abuse of corporate form and style of CAREW and HOLIDAY in licensing and contracting. As a result of the foregoing and Claimant's violations of the Shipping Act, Respondent has been cast in damages equal to the difference between the Service Contract rate and otherwise

applicable tariff rate for each shipment improperly tendered under the Service Contract.

Answer at 11 (paragraph numbers omitted).

Section 41102(a) states:

Obtaining Transportation at Less Than Applicable Rates.—A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a).

1. Default

Maersk asserts that the counter claim should be granted on default as no answer to Maersk's counter claim has been served. Opposition at 17. Holiday asserts that it acted in its established course of business, that it was licensed as an NVOCC, and that Maersk designated Holiday as the shipper on bills of lading. Reply at 3.

Commission Rule 65 states that a "party to a proceeding may be deemed to be in default if that party fails . . . [t]o answer, to respond to a dispositive motion within the time provided, or otherwise to defend the proceeding." 46 C.F.R. § 502.65(a).

Unlike typical defaults where a party fails to participate in the proceeding, here, Holiday has actively pursued its claims and insisted its actions were proper. Holiday has frequently failed to comply with legal formalities, for example by filing letters instead of motions or briefs and failing to file a formal answer. However, Holiday has continued to participate and to defend its actions. No motion for default decision was filed and no order to show cause was issued. Maersk was on notice that Holiday contested Maersk's arguments. "The reluctance to decide by default judgments is consistent with the underlying philosophy regarding proceedings before administrative agencies like the Commission. Under this philosophy agencies prefer to decide cases based on evidence rather than on defaults and technicalities." *Tak Consulting Eng'rs v. Bustani*, Docket No. 98-13, 28 S.R.R. 581, 583 (ALJ 1998). Accordingly, the counter claim will not be granted as a default but will be evaluated on the merits.

2. Elements

Pursuant to the Shipping Act, a shipper may not knowingly and willfully obtain transportation for less than applicable charges by unjust or unfair means. A person is considered to have "knowingly and willfully" violated the Shipping Act if the person had knowledge of the facts of the violation and intentionally violated or acted with reckless disregard, plain indifference, or purposeful, obstinate behavior akin to gross negligence. *Rose Int'l, Inc. v. Overseas Moving Network Int'l, Ltd.*, Docket No. 96-05, 29 S.R.R. 119, 164-165, 2001 FMC LEXIS 39, at *143 (FMC June 1, 2001); *Portman Square Ltd.*, Docket No. 97-17, 28 S.R.R. 80,

84-85, 1998 FMC LEXIS 27 (ALJ Mar. 16, 1998). To establish a violation of section 41102(a), “fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.” *United States v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984); see also *Rose Int’l*, Docket No. 96-05, 29 S.R.R. 119, 163, 2001 FMC LEXIS 39, at *139; *Waterman S.S. Corp. v. General Foundries, Inc.*, Docket No. 93-15, 26 S.R.R. 1424, 1429, 1994 FMC LEXIS 19 (FMC June 13, 1994). “It is such fraud or concealment that in fact makes the practice unjust or unfair.” *Open Bulk Containers*, 727 F.2d at 1064; see also 46 C.F.R. § 545.2.

Maersk asserts that Holiday acted as an unlicensed freight forwarder for these four shipments, freight forwarders cannot enter into service contracts, and therefore, Holiday accessed the lower rates available in the service contract by means of a “calculated misrepresentation.” Opposition at 18-19. The first question is whether Holiday acted as a freight forwarder or NVOCC for these shipments.

To conclude that an entity operated as an NVOCC, the entity must meet the Shipping Act’s definition of a common carrier; that is, it must hold itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation, assume responsibility for the transportation from the port or point of receipt to the port or point of destination, and use for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country. 46 U.S.C. § 40102(7); see also *MAVL Capital Inc. v. Marine Transport Logistics and Dmitry Alper*, FMC Docket No. 16-16, 2020 FMC LEXIS 216, at *8 (FMC Oct. 29, 2020).

The Commission has long relied on these three factors – holding itself out, assuming responsibility, and transportation by water – to identify a common carrier:

As a “common carrier” is defined in the Shipping Act, an NVOCC “holds out” to the “general public to provide transportation by water” and “assumes responsibility for the transportation from the port or point of receipt to the port or point of destination.” 46 U.S.C. § 1702(6). The Commission has found that no single factor of an entity’s operation is determinative of its status as a common carrier. [*River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 763 (FMC Feb. 3, 1999); *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 62-65 (FMC Sept. 28, 1965) (“*Containerships*”)²]. Rather, the Commission must evaluate the indicia of common carriage on a case-by-case basis. *Id.*

Rose Int’l, 29 S.R.R. at 162, 2001 FMC LEXIS 39, at *134; see also *Worldwide Relocations*, Docket No. 06-01, 32 S.R.R. at 503, 2012 FMC LEXIS 23, at *14 (FMC Mar. 15, 2012).

A carrier’s status is determined by the nature of its service offered to the public and not upon its own declarations. *Bernhard Uhlmann Co., Inc. v. Porto Rican Express Co.*, 3 F.M.B. 771, 775 (FMC Feb. 11, 1952). To determine if an entity is a common carrier, it “is important to

² Many F.M.C. cases are available on the Commission’s website at <https://www.fmc.gov/fmc-reports/>.

consider all the factors present in each case and to determine their combined effect.” *Containerships*, 9 F.M.C. at 65. The Commission has indicated that it will “look beyond documentary labels.” *Containerships*, 9 F.M.C. at 66. For example, “it is the status of the carrier, common or otherwise, that dictates the ingredients of shipping documents; it is not the documentation that determines carrier status.” *Containerships*, 9 F.M.C. at 66. To determine whether an entity meets this standard, “an intermediary’s conduct, and not what it labels itself, will be determinative of its status.” *Bonding of Non-Vessel-Operating Common Carriers*, 56 Fed. Reg. 51,987 at 51,991 (Oct. 17, 1991). This is a fact intensive inquiry.

Ms. Carew referred to Holiday as a freight forwarder for these shipments. RX 3 at 24 (“I operated as an ocean freight forwarder—ocean transportation intermediary (OTI) and appropriately licensed by the Federal Maritime Commission.”). However, her description is not determinative. It is not clear whether Ms. Carew fully understands the difference between freight forwarders and NVOCCs. For example, in the related case, Ms. Carew’s affidavit states that “I served solely as the ocean freight forwarder or an OTI for each of the consignments” and that “I operated as an ocean transportation intermediary (OTI), and licensed by the Federal Maritime Commission (FMC) to operate in the United States as an ocean freight forwarder (OFF) and non-vessel operating common carrier (NVOCC).” RX 2 at 10-11. Her statements do not determine whether she was acting as an NVOCC or a freight forwarder.

“All cargo carried for compensation moves on some form of transportation agreement, express or implied.” *Investigation of Tariff Filing Practices*, 7 F.M.C. 305, 321 (FMC Aug. 2, 1962). “Nor does a common carrier lose that status if he uses shipping contracts other than bills of lading or even if he attempts to disclaim liability for the cargo by express exemptions in the bills of lading or other contracts of affreightment.” *Containerships*, 9 F.M.C. at 64.

The affidavit from Joseph Famoye, an auto broker, indicates that he contacted Holiday to transport various items including three cars to Nigeria and that Ms. Carew advised him that he needed to obtain a 40-foot container. Brief, Famoye Affidavit at 1. After the container shipped, Ms. Carew provided a letter of indemnity which indicated the bill of lading number. Brief, Famoye Affidavit at 1. Mr. Famoye paid to clear the container in Nigeria but has been unable to retrieve it. Brief, Famoye Affidavit at 2. Holiday’s issuance of a letter of indemnity and not a house bill of lading does not establish that Holiday was not an NVOCC. Moreover, it appears that at least for these shipments, Holiday held itself out to the general public to transport cargo, assumed responsibility for the transportation, and shipped the cargo overseas by water.

The evidence does not establish that Holiday was an unlicensed freight forwarder. Indeed, Maersk admits that Holiday held itself out as an NVOCC when it signed the service contract in that capacity and Maersk listed Holiday Shipping as the shipper on its bills of lading. Opposition at 19. It appears that Holiday held itself out as an NVOCC, assumed responsibility for the shipments, and shipped cargo overseas. Moreover, Holiday was a shipper in relationship to the ocean common carrier. Accordingly, Maersk has not established by a preponderance of the evidence that Holiday was an unlicensed freight forwarder which used fraud or concealment to obtain ocean transportation for property at less than the rates that otherwise would apply.

3. Conclusion

Maersk has not established by a preponderance of the evidence that Holiday defaulted or violated section 41102(a) of the Shipping Act because Maersk has not established that Holiday was acting as an ocean freight forwarder for these shipments.

Maersk requests attorney fees and costs in its opposition brief. Opposition at 20. Commission Rule 254 states that “the Commission may, upon petition, award the prevailing party reasonable attorney fees.” 46 C.F.R. § 502.254(a). Maersk’s request may be preliminary as petitions requesting attorney fees are generally filed after decisions become final. 46 C.F.R. § 502.254(c). Although Maersk is not the prevailing party in its counter claim, it is the prevailing party with regard to Holiday’s complaint against it. “The primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act” and “parties should be encouraged to litigate meritorious claims and defences.” Final Rule, 81 Fed. Reg. 10,508 at 10,509; *Baltic Auto Shipping Inc. v. Hitrinov*, Docket No. 14-16, 34 S.R.R. 944, 2017 FMC LEXIS 16, at * 26 (FMC Oct. 25, 2017). At this point, the evidence does not establish that Maersk is entitled to attorney’s fees under the Commission’s case law.

IV. ORDER

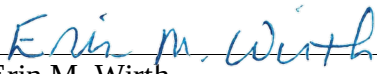
Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Holiday’s complaint be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that Maersk’s counter claim be **DISMISSED WITH PREJUDICE**. It is

FURTHER ORDERED that any other pending motions or requests be **DISMISSED AS MOOT**. It is

FURTHER ORDERED that this proceeding be **DISCONTINUED**.


Erin M. Wirth
Chief Administrative Law Judge